



Budget Planning



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MS D365 | SAP | Manufacturing & Finance | CA Finalist



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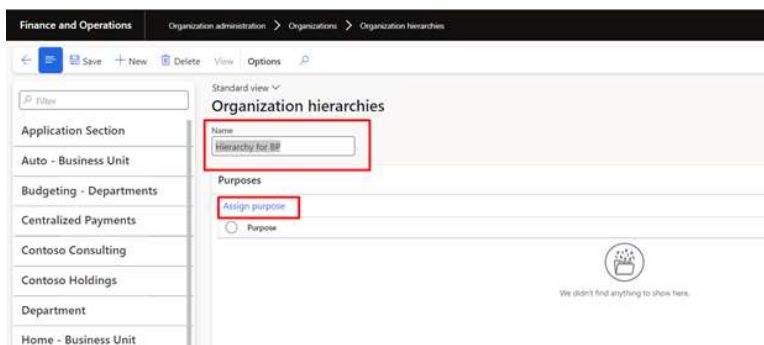
Introduction:

Budget Planning is a process by which an organization can configure its policies, procedures, and requirements for budget preparation with in D365 F&O. Normally organizations prepare and approve budgets manually and then post that budget into ERP but D365 F&O is capable of handling all the Pre-posting activities of budgeting such as Planning/Drafting/Requesting/Approving the Budget. In this blog, we will look into how Budget Planning can be processed in D365.

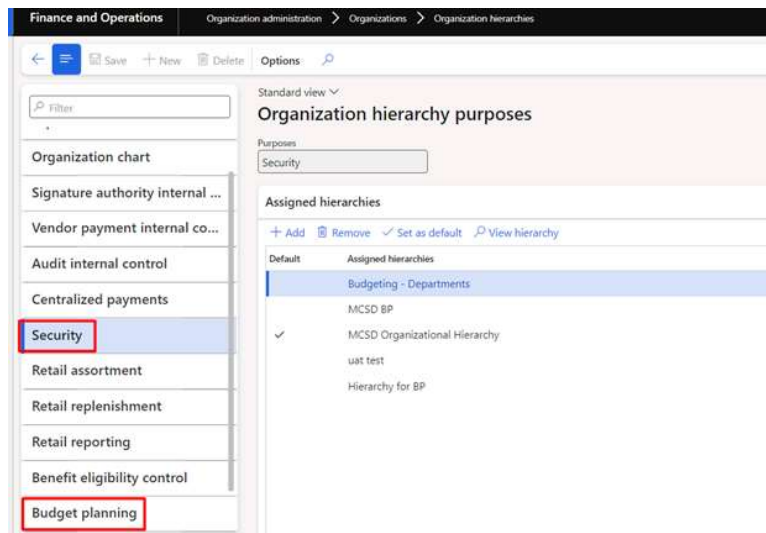
Pre-requisites:

1. Create Organization Hierarchy:

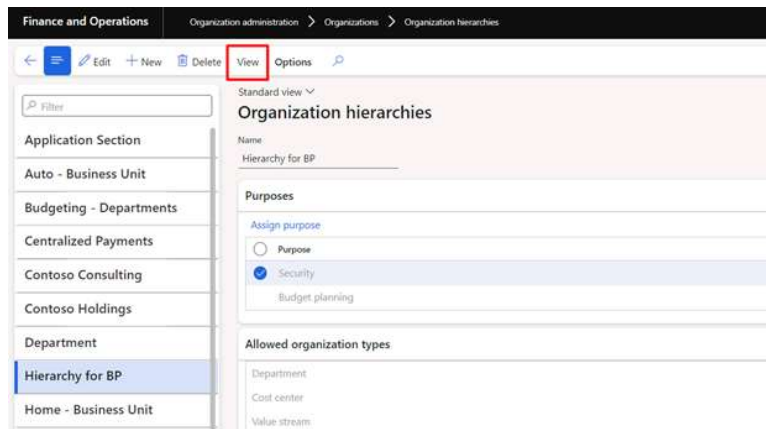
Go to Organization Administration> Organizations> Organization Hierarchy> New> Give name and Assign purpose.



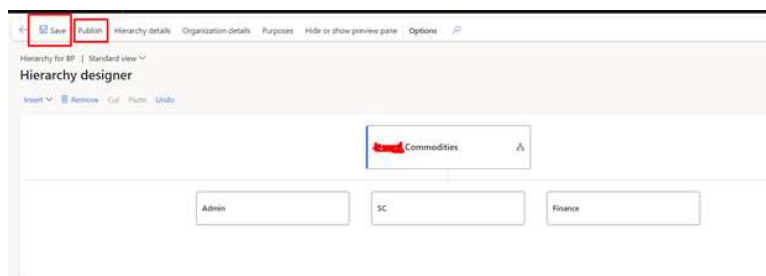
Assign the hierarchy to system's default purposes of Security and Budget Planning



Then go back and select the Organization Hierarchy and click view and design the hierarchy

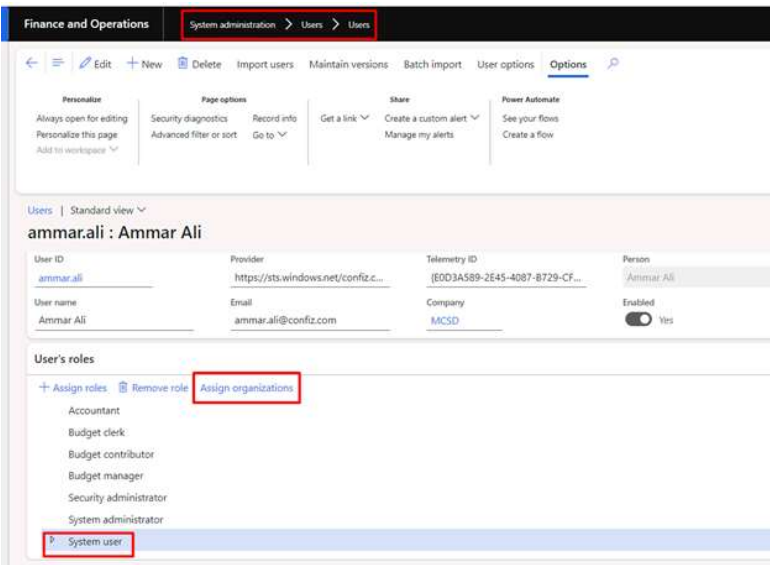


Here I have designed the Hierarchy. Afterwards click save and then Publish.



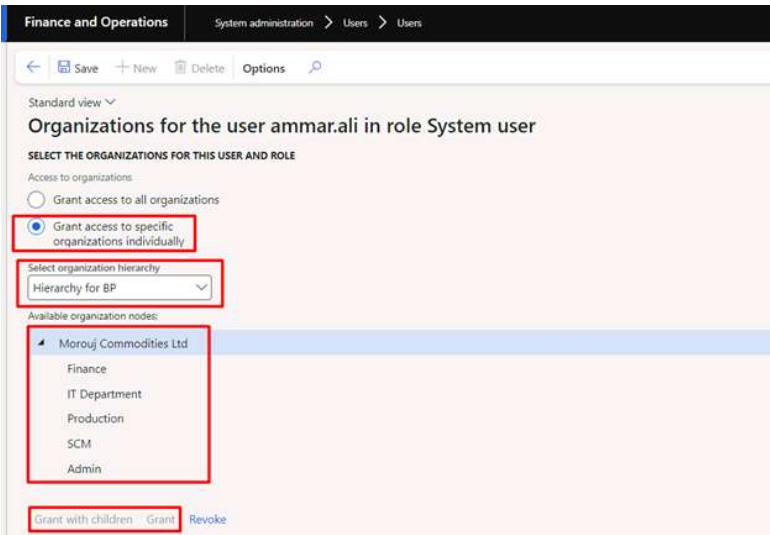
2. Assign Organization to user:

Go to System Administration> Users> Users> Select relevant user> Then select system user role> Click Assign organization



Select Grant access to specific organization individually and then select relevant organization hierarchy.

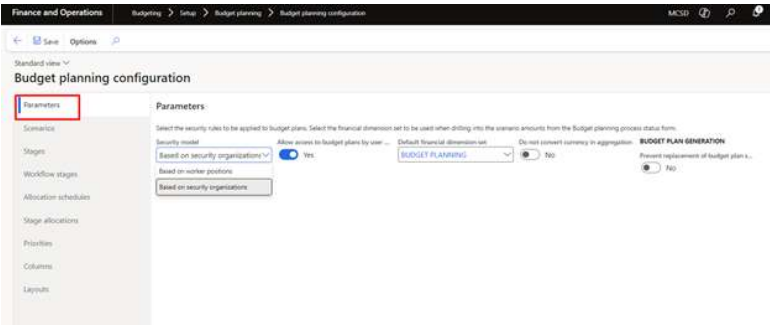
Then select each organization node individually and give access. You can select Grant with children or grant.



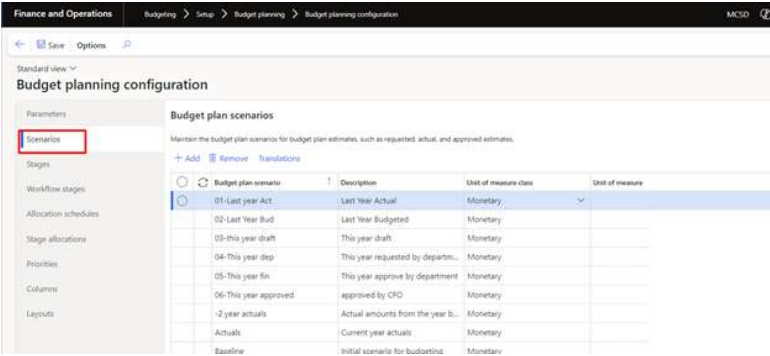
1. Budget Planning Configuration:

Go to Budgeting> Setup> Budget Planning> Budget Planning Configuration

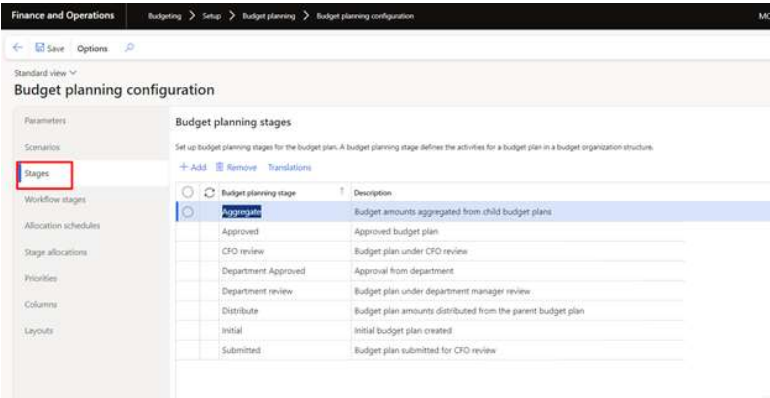
Parameters: These define the security rules that you want to apply to budget plans and the default financial dimensions that should be used when users drill into the amounts in budget plan scenarios



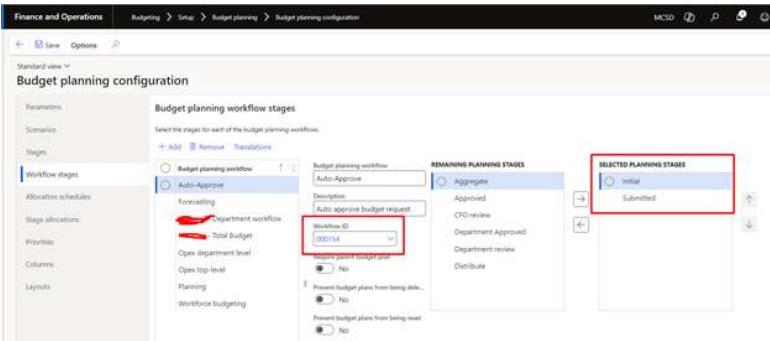
Scenarios: Budget scenarios are defined to hold typically monetary information in various buckets. For example, Last year/quarter Actual or Budgeted Amounts



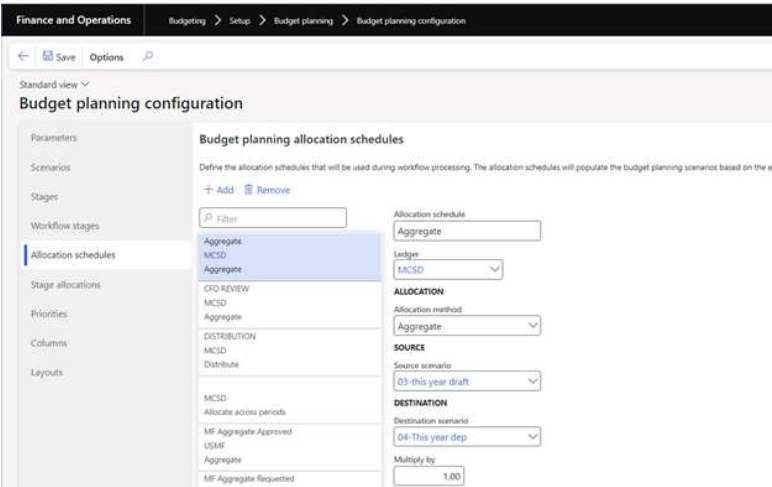
Stages: These define the steps that a budget plan follows from its beginning to final approval



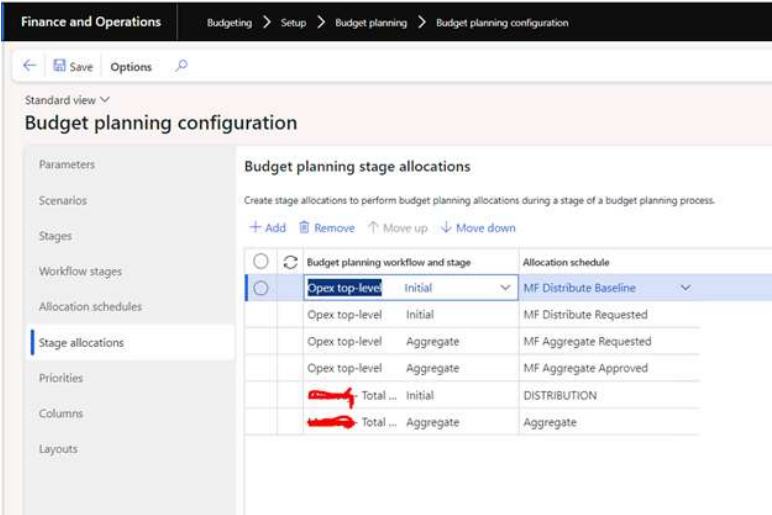
Workflow stages: Here we can define Stage wise workflow. A single workflow can be triggered at multiple stages. For example, in image below I have assigned a workflow that will be triggered at Initial and Submitted stage.



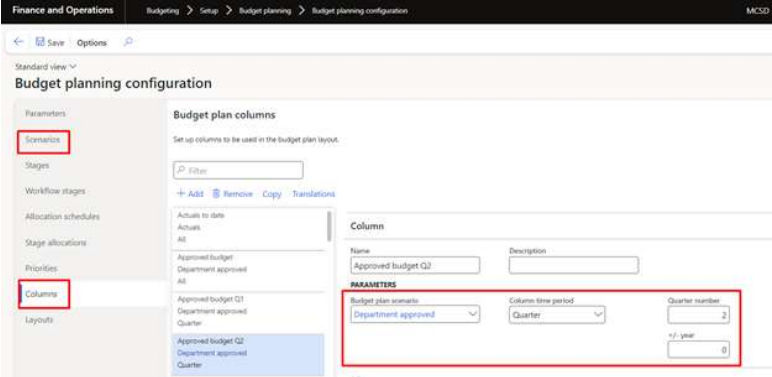
Allocation Schedules: In easy words, this function is used to define how information from Parent budget will be moved to child budgets having different layouts during workflow process. (Layouts are explained later in this blog)



Stage Allocation: Here stages and Allocation schedules are combined with Stages to trigger execution from budget plan workflow.

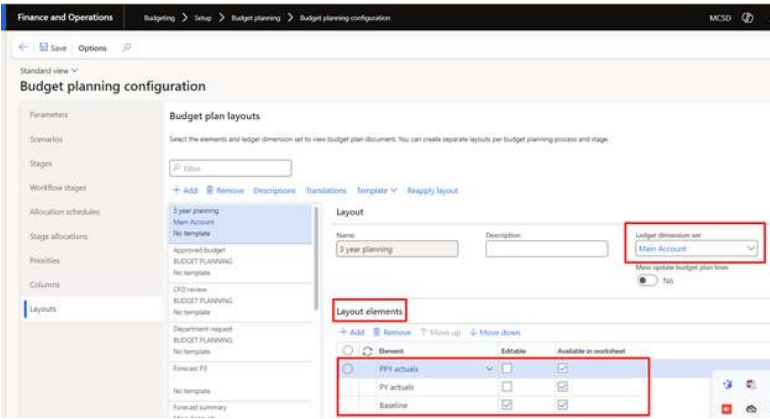


Columns: Here we define time period for the scenarios and then these columns are used in Layouts



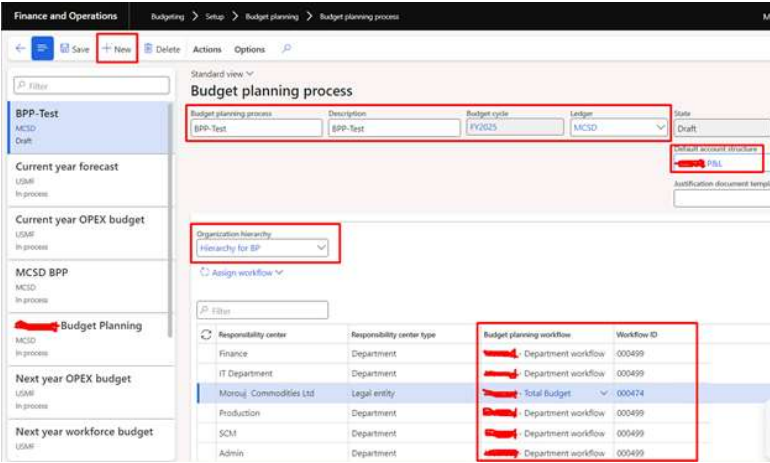
Layouts: Layouts are created to define presentation of the columns. We give the Budget Dimension set, then in Layout elements we define

presentation of columns (e.g Top to bottom)

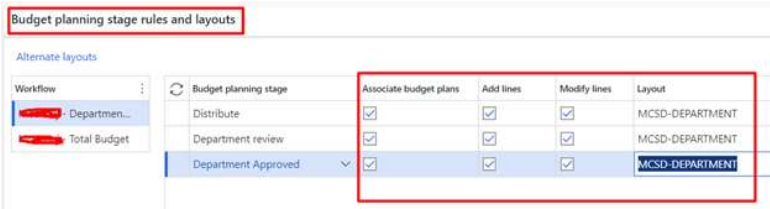


4. **Budget Planning Process:** Budget planning processes are sets of rules that determine how budget plans can be updated, routed, reviewed, and approved in the budgeting organization hierarchy.

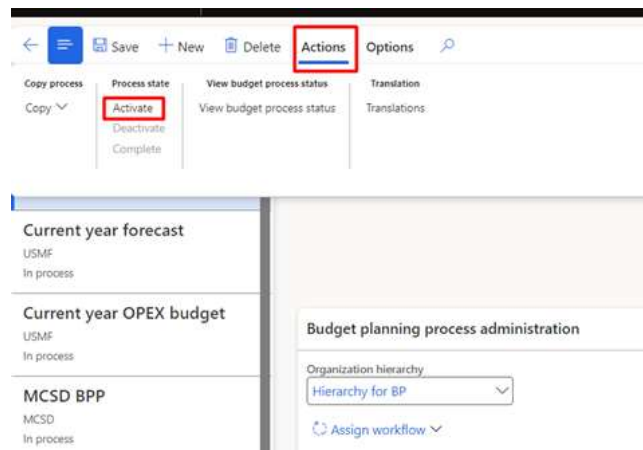
Go to Budgeting> Setup> Budget Planning> Budget Planning Process> New. Give Name, Description, Budget cycle, Ledger (Legal entity), Account Structure, Organization Hierarchy we created above, assign workflow to Responsibility centers that we defined in organization hierarchy



The fast tab of Budget planning stage rules and layouts is used to assign the Layout we created (above in this blog) to the Budget planning stages and control editing access of the Budget Plan. Stages assigned to workflow are auto fetched and here we only assign Layout to the stage.



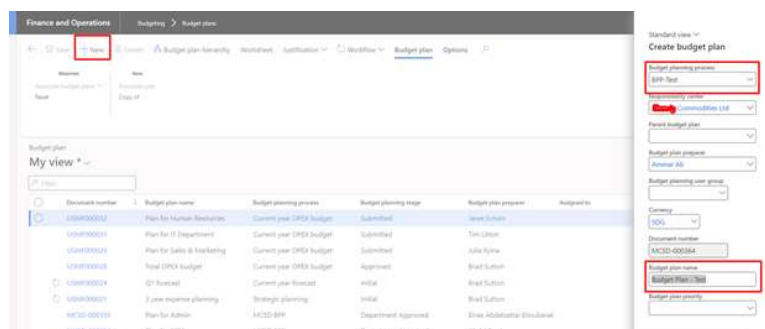
Once Budget planning process is created, click on Action and Activate it



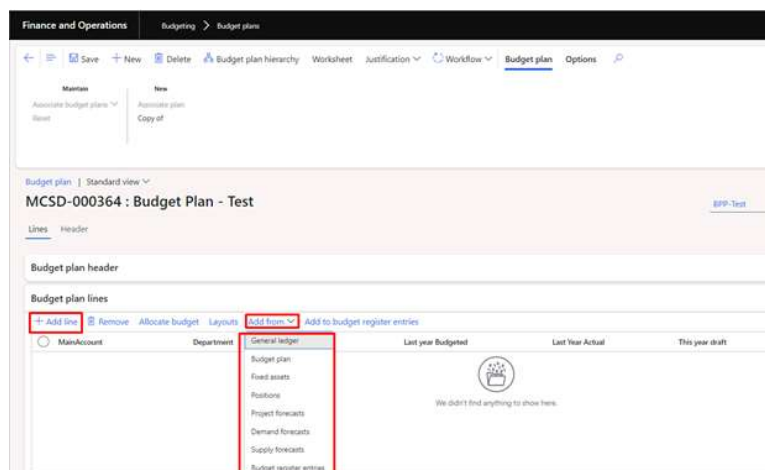
Now the setup level things are created, now we will move towards system walkthrough of how Budget Plans are created and executed into the system.

System Demo:

Go to Budgeting> Budget Plan> New. Give Budget plan name, Budget Planning Process and rest of the information will be auto fetched



The Budget plan will be created. You can add lines manually and from different sources shown in image below.



For now, I am adding lines from General Ledger. Selecting Fiscal year, From/To period and Account type and relevant information and click generate

Standard view

Generate budget plan from general ledger

In this form, you can select the historical budget data to use in the budget planning process. First, select whether to create a new budget, or to replace or update an existing budget. Then select the source data from. Or click the Filter button to define other specific criteria for the data.

Action: Replace the existing budget plan Aggregate total by: Fiscal year

Source

Filter

Ledger: MCSO

Fiscal year: 2024

From period: Period 9

To period: Period 9

Include closing transactions: No

ACCOUNT TYPE

- Account type
- Total
- Equity
- Liability
- Asset
- Balance sheet
- Expense**
- Revenue
- Profit and loss

SELECTION CRITERIA

GENERAL JOURNAL ACCOUNT ENTRY

Ledger account (Record ID):

MAIN ACCOUNT CATEGORIES

Main account category:

Target

Currently for demo purpose, I have added only 2 dimensions for budgeting which are main account and department. Now we will give draft budgeted amounts for main accounts and dimensions and route it to department through submitting into workflow

Finance and Operations > Budgeting > Budget plans

Workflow

Submit

Budget plan | Standard view

MCSO-000364 : Budget Plan - Test

BPP-Test

Lines

Header

Budget plan lines

	MainAccount	Department	Last year Budgeted	Last Year Actual	This year draft
	610104007	022	0.00	1,000,500.00	1,200,000.00
	610019007	022	0.00	101,000.00	80,000.00
	610103001	023	0.00	55,000.00	45,000.00
	610104002	023	0.00	150,000.00	150,000.00
	610104001	024	0.00	95,000.00	100,000.00
	610104005	024	0.00	90,000.00	90,000.00

After submission, system will auto create child budget plans and only relevant department would be able to see their related budget.

Finance and Operations > Budgeting > Budget plans

Workflow

Budget plan

Options

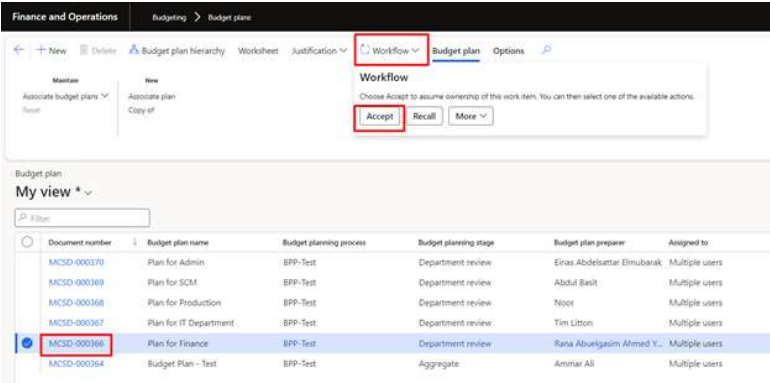
My view

Filter

These are child budget plans

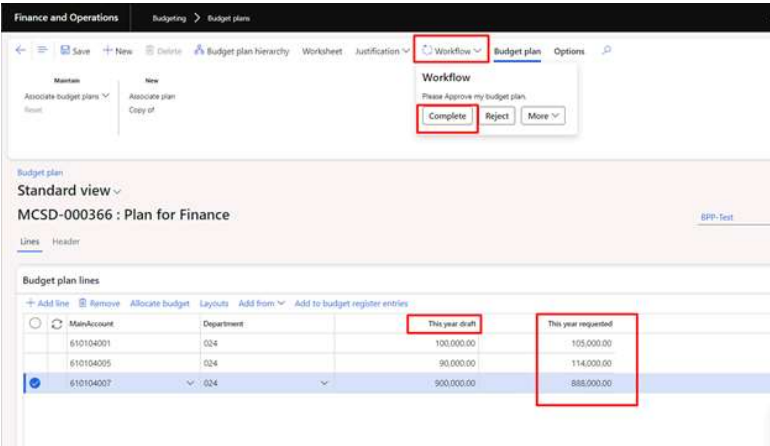
Document number	Budget plan name	Budget planning process	Budget planning stage	Budget plan preparer	Assigned to
MCSO-000370	Plan for Admin	BPP-Test	Department review	Enas Abdelattar Elmubarak	Multiple users
MCSO-000369	Plan for SCM	BPP-Test	Department review	Abdul Basil	Multiple users
MCSO-000368	Plan for Production	BPP-Test	Department review	Noor	Multiple users
MCSO-000367	Plan for IT Department	BPP-Test	Department review	Tim Littan	Multiple users
MCSO-000366	Plan for Finance	BPP-Test	Department review	Rana Abuelgasim Ahmed T...	Multiple users
MCSO-000364	Budget Plan - Test	BPP-Test	Aggregate	Ammar Ali	Multiple users

User will select its relevant budget plan and Accept it.

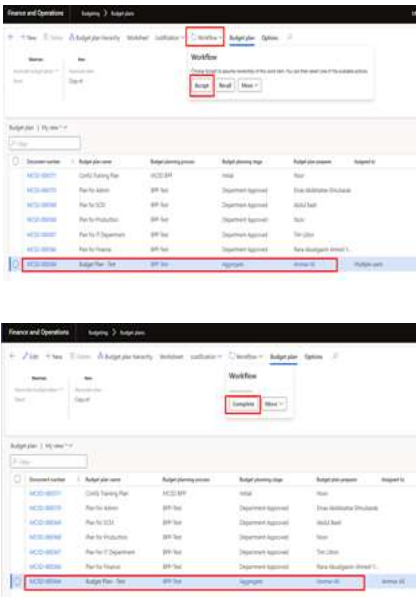


After Acceptance, user can make changes to draft budgeted amount and can propose other budgeted amounts in the "This year requested Column". Note that the Columns visible in image below are create in Budget Planning Configuration.

Afterward, complete the workflow. This will route the Amount of Child Budget Plan from relevant department to the Parent Budget



Initiator of Parent Budget will Accept and then Complete the workflow



Now the CFO (or relevant authorizer) can see the Drafted Amount and the amount requested from Department and based on those CFO (or relevant authorizer) will add final Approved Budgeted Amounts of the Budget plan at line level and Approved the workflow

Finance and Operations | Budgeting > Budget plans

Budget plan | Standard view

MCSD-000364 : Budget Plan - Test

Budget plan lines

MainAccount	Department	This year draft	This year requested	This year Approved
610104002	023	150,000.00	0.00	0.00
610104001	024	100,000.00	100,000.00	100,000.00
610104005	024	90,000.00	90,000.00	90,000.00
610104007	024	900,000.00	900,000.00	900,000.00
640302007	025	1,000.00	1,000.00	1,000.00

Now the Budget Plan is approved and we can create Budget Register Entries form this Approved Budget Plan

Finance and Operations | Budgeting > Budget plans

Budget plan | Standard view

MCSD-000364 : Budget Plan - Test

Budget plan lines

MainAccount	Department	This year draft	This year requested	This year Approved
610104007	022	1,200,000.00	0.00	0.00
610201007	022	80,000.00	0.00	0.00

Here select Budget Plan scenario, Budget Model, Budget code and click generate, and the Budget Register entries will be created

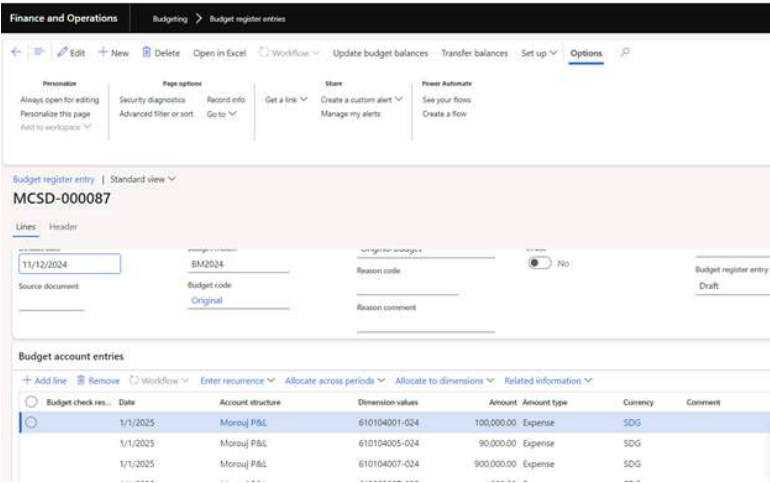
Standard view

Generate budget register entry

Source: **MCSD** | **Budget plan scenario**: 06-This year approved | **BUDGET PLAN LINES**

Target: **Budget model**: BBO0204 | **Budget code**: Original | **Generate**

Go to Budgeting> Budget Register Entries and below is the Budget Register entries are Auto created from Budget Plan



Conclusion:

That’s all for Budget Planning in MS D365 F&O. I have tried to explain this topic in simple and very easy words as many Consultants struggle to grasp it. If a person has understanding of Basic Budgeting of D365, he can easily configure Budget Planning in D365 by reading this article.

If you have any Question, please reach out to me through Linked and also share your feedback if I have missed something. Thank you!

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